

QUALITY CONTROL MANUAL

Year 2021

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Purpose

The objective of the Manual is to maintain and enhance the quality of performance related to the conduct of a firm as a whole.

Practitioners should ensure that communications with personnel describe in detail the quality control policies and procedures, in addition to the objectives they are designed to achieve. They should also emphasize that each individual has a personal responsibility for quality and is expected to comply with the firm's policies and procedures.

SQC 1 deals with a firm's responsibilities for its system of quality control for audits and reviews of financial statements, and other assurance and related services engagements.

General policy statement

It is the firm's objective to establish, implement, maintain, monitor, and enforce a quality control system that provides reasonable assurance that the partners and staff members of the firm comply with the **Standard on Auditing (SA) 220**, "Quality control for an audit of financial statements" and **Standard on Quality Control (SQC) 1**, "Quality control for firms that perform audits and reviews of financial statements, and other assurance and related services engagements" and that the firm's engagement reports are appropriate for the circumstances.

General roles and responsibilities of all partners and staff

Each partner and staff member is, to varying degrees, responsible for implementing the firm's quality control policies.

The Managing Partner (MP) exercises ultimate authority and responsibility for the system of quality control on behalf of the partners.

All partners and staff are required to conform with this manual.

I. LEADERSHIP RESPONSIBILITIES FOR QUALITY WITHIN THE FIRM

I.1. Tone at the top

The firm's partner(s) shall decide on all key matters regarding the firm and its professional practice.

The overall responsibility for the operation of the quality control system is delegated to the Managing Partner (MP). In this role, the Managing Partner should ensure the promotion of an internal culture based on quality with the overriding requirement for the firm to achieve quality in all the engagements that it performs.

The partner(s) shall ensure sufficient resources are provided for the development, documentation and support of the firm's quality control policies and procedures.

The managing partner shall also ensure the establishment of policies and procedures that address performance evaluation, compensation and promotion (including incentive systems) with regard to its personnel, in order to demonstrate the firm's overriding commitment to quality.

I.2. Leadership positions

Throughout this quality control manual, reference is made to various leadership positions within the firm. These roles are defined as follows:

MP (Managing partner)

Responsible for monitoring the effectiveness of work performed by all other leadership positions. In small and medium sized practices, this position is also ordinarily responsible for all complaint and allegation matters.

QCR (Quality control reviewer)

Any professional performing the function of engagement quality control review

HR (Human resources personnel)

Person(s) responsible (need not be a partner) for all human resource functions, including record keeping with respect to professional duties such as fees and continuing professional development.

II. RELEVANT ETHICAL REQUIREMENTS

The firm shall establish policies and procedures designed to provide it with reasonable assurance that the firm, its personnel and, where applicable, others subject to independence requirements maintain independence where required by relevant ethical requirements. These policies and procedures should also notify the firm of breaches of independence requirements and enable it to take appropriate actions to resolve such situations.

The firm's policies and procedures should also require engagement partners to provide the firm with relevant information about client engagements, including the scope of services, to enable the firm to evaluate the overall impact, if any, on independence requirements.

At least annually, the firm should obtain written confirmation of compliance with its policies and procedures on independence from all firm personnel required to be independent by relevant ethical requirements. Independence shall be maintained throughout the engagement period for all assurance engagements.

If threats to independence cannot be eliminated or reduced to an acceptable level by applying appropriate safeguards, the firm shall eliminate the activity, interest, or relationship that is creating the threat, or refuse to accept or continue the engagement (where withdrawal is not prohibited by law or regulation). Safeguards to use may include rotation of senior personnel on an assurance engagement over a long period of time or rotation of engagement partners or engagement quality control reviewers

The firm should establish policies and procedures that shall ensure its compliance with the fundamental principles of professional ethics. These principles include;

- a) Integrity;
- b) Objectivity;
- c) Professional competence and due care;
- d) Confidentiality; and
- e) Professional behaviour

II.1. Ethical requirements - Responsibilities

II.1.i. Responsibilities – The firm

The firm is responsible for the development, implementation, monitoring, and enforcement of policies and procedures designed to assist all partners and staff in understanding, identifying, documenting, and managing independence threats and for the resolution of independence issues that arise prior to or during engagements.

The MP is ultimately responsible on the firm's behalf and, therefore (after consultation with other partners), has the final decision on any independence threat resolution, including:

- Resignation from a specific engagement or client relationship;

- Determining and imposing specified safeguards, actions, and procedures to manage threats and potential threats appropriately;
- Hearing and investigating unresolved independence compliance concerns raised by members of the engagement team (or by other partners or staff);
- Ensuring appropriate documentation of the process and resolution of each significant independence issue;
- Invoking sanctions for non-compliance;
- Initiating and participating in pre-emptive planning measures to help avoid and manage potential independence concerns; and
- Arranging additional consultation, if needed.

All partners and staff are required to review their specific circumstances for any independence threats or potential threats. The firm must document the details of identified threats and the safeguards that were applied.

II.1.ii. Responsibilities – Partners and staff

All partners and staff are required to be aware of and understand the requirement of this quality control manual. The firm's independence policy requires all members of the engagement team to meet these provisions for all assurance engagements and reports issued.

Each partner or staff member assigned to an assurance engagement shall confirm to the engagement partner that he or she is independent from the client and engagement, or notify the engagement partner of any threat or possible threat to independence so that appropriate safeguards can be applied.

When asked by the engagement partner, members of the engagement team shall take whatever reasonable actions are necessary and possible to eliminate or reduce any independence threat to an acceptable level through the application of appropriate safeguards. These actions may include:

- Ceasing to be a member of the engagement team;
- Ceasing or altering specific types of work or services performed in an engagement;
- Divesting of a financial or ownership interest;
- Ceasing or changing the nature of personal or business relationships with clients;
- Submitting work for additional review by other partners and staff; and
- Taking any other reasonable actions that are appropriate in the circumstances

If a partner or staff member is not satisfied that an independence issue or concern is being appropriately addressed or resolved, the individual shall inform the MP.

II.2. Conflict of interest

The partners and staff must be aware of any interests, influences, or relationships that may create a conflict of interest. Partners and staff must be free of any interests, influences, or relationships in respect of the client's affairs which impair professional judgment or objectivity.

II.2.i. Conflict of interest – The firm

The firm is responsible for the development, implementation, compliance, enforcement, and monitoring of practice methods and procedures designed to assist all partners and staff in understanding, identifying, documenting, and addressing conflicts of interest, and determining their appropriate resolution.

Whenever a conflict or potential conflict is identified, the partners or staff will not act or provide advice or comment until they have thoroughly considered the situation and reviewed the facts and circumstances, and agree that the required safeguards and communications are in place and it is appropriate to act.

The decision to act or provide advice in these circumstances is extremely rare and it is suggested that the details be fully documented.

II.2.ii. Conflict of interest – Partners and staff

All partners and staff should review their specific circumstances and advise the firm of any conflicts of interest or potential conflicts involving themselves or their immediate family. Partners and staff should also determine and disclose whether any conflicts of interest between themselves and the firm's clients exist, particularly if they provide services directly to these clients. They should exercise due care, follow firm policy, and discuss the particular circumstances with the MP, when appropriate, to determine how to address the situation and whether a particular service should be avoided.

The client will be notified of the partner's or staff's business interest or activities that may represent a conflict of interest, all relevant known parties in situations in which the firm is acting for two or more parties in respect of a matter where their respective interests are in conflict, and will notify the client that the firm does not act exclusively for any one client in the provision of proposed services. In all cases, the client's consent to act should be obtained.

When the firm decides to accept or continue the engagement, partners and staff shall document within the engagement file identified conflicts, typically in the acceptance and continuance or planning sections. This will include any correspondence or discussions concerning the nature of the conflict, as well as any consultations with others, conclusions reached, safeguards applied, and procedures followed to address the conflict situation.

If internal confidentiality is required, it may be necessary to prevent other partners and staff from having access to the information with the use of firewalls; physical, personnel, file, and information security; specific non-disclosure agreements; or segregation and lock-down of files or access to data. When these measures are taken, all partners and staff involved shall respect and abide by them without exception. Generally, however, situations requiring such measures will be avoided.

If partners or staff are unsure of their responsibilities regarding the assessment of a conflict or potential conflict, it is suggested that a discussion be held with other non-involved personnel to request help with the assessment. If a conflict situation is significant and particularly sensitive, the matter shall be referred to the MP for review.

If partners or staff become aware of others acting (knowingly or inadvertently) in situations contrary to firm policies or specific determinations regarding engagements (other than a trivial or inconsequential instance), it is recommended that the matter be immediately referred to the MP.

II.3. Confidentiality

All partners and staff shall protect and keep confidential any client information that is required to be kept confidential and protected according to governing laws, regulatory authorities,

Client information and any personal information obtained during an engagement shall be used or disclosed only for the purpose for which it was collected.

Personal and client information will only be retained as defined by the firm's access and retention policy. Documents will be kept on file for as long as is necessary to fulfill professional, regulatory or legal requirements.

Firm policy requires personal and client information to be as accurate, complete, and up-to date as possible.

Firm policy permits an individual or client (with appropriate authorization), upon request, to be informed of the existence, use, and disclosure of personal information or specified equivalent business information and provides (as appropriate) access to this information. This information does not necessarily include working papers, which are the firm's property.

The firm policy requires the maintenance of industry-standard technology, including firewalls, hardware, and software, as well as data transmission and storage procedures designed to retain, catalogue, and recover electronic information and protect this information from unauthorized access or inappropriate use (both internally and externally) (if applicable).

The firm policy requires the maintenance of internal and external hard-copy file handling and storage procedures and facilities to protect, retain, catalogue, and recover file information and to protect this information from unauthorized access or inappropriate use (both internally and externally).

The firm also requires that a declaration of confidentiality be signed by all personnel upon hire, and annually thereafter, and that this documentation be maintained on file. All personnel are expected to be thoroughly familiar with the firm's policy statement on confidentiality and to comply with it. Acknowledgement of this understanding will be evidenced by way of signature on the firm's confidentiality agreement.

III. ACCEPTANCE AND CONTINUANCE OF CLIENT RELATIONSHIPS AND SPECIFIC ENGAGEMENTS

III.1. Competence, capabilities and resources

The firm should have policies and procedures for performance of analysis of whether it has the competence, capabilities and resources to undertake a new engagement from a new or existing client. This involves reviewing the specific requirements of the engagement and the existing personnel at all relevant levels and assessing whether:

- Firm personnel have knowledge of relevant industries or subject matter;
- Firm personnel have experience with relevant regulatory or reporting requirements, or the ability to gain the necessary skills and knowledge effectively;
- The firm has sufficient personnel with the necessary competence and capabilities;
- Experts are available, if needed;
- Individuals meeting the criteria and eligibility requirements to perform engagement quality review are available, where applicable; and
- The firm is able to complete the engagement within the reporting deadline.

III.2. Integrity of client

The firm's policies and procedures shall involve consideration of the following matters during the process of client acceptance or continuance;

- The identity and business reputation of the client's principal owners, key management, and those charged with its governance;
- The nature of the client's operations, including its business practices;
- The attitude of the client's principal owners, key management and those charged with governance towards matters such as aggressive interpretation of accounting standards and the internal control environment;
- Whether the client is aggressively concerned with maintaining the firm's fees as low as possible;
- Indications of an inappropriate limitation in the scope of work;
- Indications that the client might be involved in money laundering or other criminal activities;
- The reasons for the appointment of the firm and non-reappointment of the previous firm;
- The identity and business reputation of related parties.

Sources of information on such matters obtained by the firm may include;

- Communication with existing or previous providers of professional accountancy services to the client in accordance with relevant ethical requirements, and discussions with other third parties;
- Inquiry of other firm personnel or third parties such as bankers, legal counsel and industry peers;
- Background searches of relevant databases.

III.3. New client proposals

An evaluation of a prospective client and authorized approval shall precede issuance of any client proposal.

For each new engagement client, a review process must be undertaken and documented before the firm can accept the engagement. This process will include an assessment of the risks associated with the client.

The firm will make inquiry of personnel or third parties in making its determination of whether to consider a new client proposal. The firm may also engage in background searches, such as making use of any online information that may be readily available.

Once a determination has been made to accept a new client, the firm shall meet the relevant ethical requirements (such as communicating with the former firm if required by the member body code of ethics) and will prepare an engagement letter for signature by the new client.

III.4. Resignation of a client relationship

The firm should have a defined process to be followed when it has been determined that withdrawal from an engagement is necessary. This process includes consideration of the professional, regulatory, and legal requirements and any mandatory reporting which must be undertaken as a result.

A partner will undertake to meet with the client's management and those charged with governance to discuss the facts and circumstances leading to the withdrawal.

The firm will document the significant matters which led to the withdrawal, including the results of any consultation, the conclusions reached, and the basis for these conclusions.

If there is a professional, regulatory or legal requirement which compels the firm to continue the engagement, the reasons for continuance should be documented, including consideration of consideration with the legal counsel.

IV. HUMAN RESOURCES

The firm's policies and procedures should address personnel issues like:

- Recruitment;
- Capabilities and competence;
- Performance evaluation;
- Career development and promotions;
- Compensation; and
- Estimation of personnel needs.

IV.1. Recruitment and retention

The firm should establish effective recruitment processes and procedures to help in the selection of individuals of integrity who have the capacity to develop the competence and capabilities necessary to perform the firm's work and possess the appropriate characteristics to enable them to perform competently.

The firm should establish systems for periodic reviews of the effectiveness of its recruitment program together with an assessment of its current resource needs to identify whether revisions to the program are required.

The firm should establish systems to identify opportunities for its personnel's career development in order to retain competent professionals and to provide support for the firm's sustainability and continued growth.

The firm's policies and procedures should also provide for a variety of methods for developing personnel competencies. The firm should establish avenues for:

- Professional education
- Continuing professional development, including training.
- Work experience
- Coaching by more experienced staff
- Independence education for personnel who are required to be independent.

IV.2. Assignment of engagement teams

Through its policies and procedures, the firm should ensure that appropriate partners and staff (individually and collectively) are assigned to each engagement. The responsibilities of the engagement partner are clearly defined in this manual and in the engagement templates provided by the firm. The engagement partner, in consultation with the MP, plans the assignment of partners and staff. The engagement partner is also responsible for ensuring that the individuals assigned, and the engagement team as a whole, have the necessary competencies to complete the engagement according to professional standards and the firm's quality control system.

The firm is responsible for ensuring that the engagement partner assigned to each assurance engagement has the necessary competencies and enough time to assume overall responsibility for performing the engagement according to professional standards and applicable regulatory and legal requirements.

When determining the appropriate personnel to assign to an engagement, particular attention will be given to continuity with the client, balanced with rotation requirements, in order to ensure adequate complement and opportunity to the engagement team.

The firm's policies and procedures may include systems to monitor the workload and availability of engagement partners so as to enable these individuals to have sufficient time to adequately discharge their responsibilities.

IV.3. Supervision

The firm should ensure supervision of all engagements. This process shall include the following:

- Tracking the progress of the engagement;
- Considering the competence and capabilities of individual members of the engagement team, whether they have sufficient time to carry out their work, whether they understand their instructions and whether the work is being carried out in accordance with the planned approach to the engagement;
- Addressing significant matters arising during the engagement, considering their significance and modifying the planned approach appropriately; and
- Identifying matters for consultation or consideration by more experienced engagement team members during the engagement.

Supervision of the firm's engagements shall involve a review of whether:

- The work has been performed in accordance with professional standards and applicable legal and regulatory requirements;
- Significant matters have been raised for further consideration;
- Appropriate consultations have taken place and the resulting conclusions have been documented and implemented;
- There is a need to revise the nature, timing and extent of work performed;
- The work performed supports the conclusions reached and is appropriately documented;
- The evidence obtained is sufficient and appropriate to support the report; and
- The objectives of the engagement procedures have been achieved.

IV.4. Performance evaluation

The firm should establish performance evaluation, compensation and promotion procedures which give due recognition and reward to the development and maintenance of competence and commitment to ethical principles. Steps a firm may take in developing and maintaining competence and commitment to ethical principles include:

- Making personnel aware of the firm's expectations regarding performance and ethical principles;
- Providing personnel with evaluation of, and counselling on, performance, progress and career development; and
- Helping personnel understand that advancement to positions of greater responsibility depends, among other things, upon performance quality and

adherence to ethical principles, and that failure to comply with the firm's policies and procedures may result in disciplinary action.

Compliance with the firm's policies should be considered and addressed in the specific and overall assessment of individual partners and staff on an ongoing basis and in the regularly scheduled personnel review process.

The firm should establish systems to ensure that performance appraisals, conducted on a periodic basis. Appropriate weighting should be identified and assigned to the traits identified in the assessment of job performance and in determining remuneration levels, bonuses, advancement, career development, and authority within the firm. The size and circumstances of the firm will influence the structure of the firm's performance evaluation process. Smaller firms, in particular, may employ less formal methods of evaluating the performance of their personnel.

V. ENGAGEMENT PERFORMANCE

Through established policies and procedures and its quality control system, the firm should ensure that engagements be performed according to professional standards and applicable regulatory and legal requirements.

The firm's overall systems should be designed to provide reasonable assurance that the firm and its partners and staff adequately and properly plan, supervise, and review engagements and produce engagement reports that are appropriate in the circumstances.

To facilitate partner and staff performance on engagements consistently and according to professional standards and regulatory and legal requirements, the firm should provide sample working paper templates for documenting the engagement process for clients. These templates should be updated as required to reflect any changes in professional standards. Staff should use these templates to document key facts, risks, and assessments related to acceptance or continuation of each engagement. Staff should be encouraged to exercise professional judgment when modifying such templates to ensure that such matters are appropriately documented and assessed for each engagement in accordance with professional standards and firm policies.

The firm's policies and procedures in the performance of any engagement should ensure that all partners and staff:

- Follow and adhere to firm planning, supervision, and review policies;
- Use (modifying as appropriate) the firm's templates for file preparation, documentation, and correspondence, as well as its software, research tools, and the signing and release procedures appropriate for the engagement;
- Follow and adhere to the ethical policies of the profession and the firm;
- Perform their work to professional and firm standards with due care and attention;
- Document their work, analysis, consultations, and conclusions sufficiently and appropriately;
- Complete their work with objectivity and appropriate independence, on a timely and efficient basis, and document the work in an organized, systematic, complete, and legible manner;
- Ensure that all working papers, file documents, and memoranda are initialled, properly cross-referenced, and dated, with appropriate consultation on difficult or contentious matters;
- Ensure that appropriate client communications, representations, reviews, and responsibilities are clearly established and documented; and
- Ensure that the engagement report reflects the work performed and intended purpose and is issued soon after the fieldwork is complete.

V.1. Role of the Engagement Partner

The engagement partner shall be responsible for signing the engagement report. As leader of the engagement team, this individual is responsible for:

- The overall quality for each engagement to which the engagement partner is assigned;
- Forming a conclusion on compliance with independence requirements from the client, and, in doing so, obtaining the information required to identify threats to independence, taking action to eliminate such threats or reduce them to an acceptable level by applying appropriate safeguards, and ensuring that appropriate documentation is completed;
- Ensuring that appropriate procedures regarding the acceptance and continuance of client relationships have been followed, and that conclusions reached in this regard are appropriate and have been documented;
- Communicating promptly to the firm any information obtained that would have caused the firm to decline the engagement if that information had been available earlier, so that the firm and the engagement partner can take the necessary action;
- Ensuring that the engagement team collectively has the appropriate capabilities, competence, and time to perform the engagement in accordance with professional standards and regulatory and legal requirements;
- Supervising and/or performing the engagement in compliance with professional standards and regulatory and legal requirements, and ensuring that the engagement report issued is appropriate in the circumstances;
- Communicating to key members of the client's management and those charged with governance his or her identity and role as engagement partner;
- Ensuring, through review of the engagement documentation and discussion with the engagement team, that sufficient appropriate evidence has been obtained to support the conclusions reached and for the engagement report to be issued;
- Taking responsibility for the engagement through appropriate consultation (both internal and external) on difficult or contentious matters; and
- Determining when a QCR should be appointed in accordance with professional standards and firm policy; discussing significant matters arising during the engagement and identified during the engagement quality control review with the QCR; and not dating the report until the review is complete.

V.2. Consultation

The firm's systems shall encourage consultation among the engagement team and, for significant matters, with others inside and, with authorization, outside the firm. Internal consultation uses the firm's collective experience and technical expertise (or that available to the firm) to reduce the risk of error and improve the quality of engagement performance. A consultative environment improves the partner or staff's learning and development process and adds strength to the firm's collective knowledge base, quality control system, and professional capabilities.

The firm shall also have policies and procedures for addressing any significant, difficult, or contentious issue identified during planning or throughout the engagement. Whenever possible, all professionals within the firm should assist each other in dealing with and reaching conclusions on such problematic issues.

The firm shall ensure the availability of sufficiently skilled personnel and financial and information resources to allow appropriate internal or external consultations to take place.

When internal consultation is sought and the issue is determined to be significant, the engagement team member shall document the consultation and the result. When external consultation is required, and authorized by the engagement partner or MP, the situation shall be formally documented. The external expert's opinions or positions shall be sufficiently documented, providing enough detail to allow file readers to understand the full extent of the nature of the consultation, the external expert's qualifications and relevant competencies, and the course of action recommended.

The external expert shall be supplied with all relevant facts to be able to provide informed advice. When seeking advice, it is not appropriate to withhold facts or direct the information flow in order to get a particular desired result. The external expert shall be independent of the client, free of conflict of interest, and held to a high standard of objectivity.

The external expert's advice will ordinarily be implemented as the resolution or form part of the resolution of the contentious issue. If the advice is not implemented or is substantially different from the conclusion, there shall be an explanation documenting the reasons and alternatives considered, with (or cross-referenced to) the consultation record provided by the engagement partner.

If more than one consultation is completed, a summary of the general discussions and range of opinions or options provided shall be added to the working papers. The final position(s) adopted and the reasons for this shall also be documented.

For all external consultations, privacy rights and client confidentiality requirements must be observed. It may be necessary to seek legal advice on these or other issues regarding ethics, professional conduct, or regulatory and legal matters.

V.3. Differences of opinion

The firm should have procedures to adequately identify, consider, document, and resolve differences of opinion that may arise among its partners and staff, in a wide range of circumstances. All partners and staff shall strive to be objective, conscientious, open-minded, and reasonable in assisting, facilitating, or reaching a timely and non-confrontational resolution of any disputes or differences of opinion.

If the matter cannot be resolved or there is uncertainty over what action shall be taken, the parties shall refer the matter to a more senior engagement team member or the engagement partner.

If the issue involves a specific area of professional oversight or practice administration within the firm, it shall be referred to the partner responsible for this area, preferably by the engagement partner. The engagement partner will consider the matter and decide, through consultation with the parties, how to resolve the matter. That partner shall then inform the parties of the decision and the reasons behind it.

If a dispute or difference of opinion remains, or one or more of the individuals involved is not satisfied with the partner's decision(s), the individual(s) shall consider whether the matter is enough of a quality control concern or may be of sufficient impact to warrant referring it directly to the engagement partner or MP.

The firm should ensure that all partners and staff are protected from any form of retribution, career limitation, or punitive actions for bringing attention to a legitimate and significant issue, in good faith and with the true interests of the public, client, firm, or co-worker in mind.

Partners and staff shall understand that referring a matter beyond an engagement team or engagement partner level is serious and must not be minimized since it will likely require substantial partner time to address. The referral can be verbal if highly sensitive or confidential (although the practice of verbal referrals is discouraged), or in writing.

The MP will consider the issue, and if it is determined to be significant and with merit, will consult with other partners and inform the parties involved of the firm's decision. In all cases, the nature and scope of, conclusions resulting from, and consultations undertaken during the course of the engagement shall be documented.

If the individual is still not satisfied with the matter's resolution and no further recourse is available within the firm, the individual will need to consider the matter's significance, along with his or her professional responsibilities and position or continuing employment with the firm.

Disputes or differences of opinion shall be documented in the same way as consultations for any matter involving an engagement. In all instances, the engagement report will not be dated until the matter is resolved.

The written partnership agreement shall set out dispute resolution and partnership dissolution policies to follow when disagreement proves too difficult to settle amicably.

V.4. Engagement quality control review (EQCR)

All engagements must be assessed against the firm's established criteria (see below) to determine whether an EQCR shall be performed. This assessment should be made, in the case of a new client relationship, before the engagement is accepted, and in the case of a continuing client, during the planning phase of the engagement.

Firm policy shall require the engagement partner to resolve issues raised by the QCR, to his or her satisfaction, before dating the engagement report.

An EQCR is required before dating any audit of the financial statements of listed entities. In any other circumstances where an EQCR is conducted, the engagement report shall not be dated until completion of the EQCR

V.4.i. Criteria requiring an EQCR

A completed quality control review may be considered for engagements before dating an engagement report when:

- The engagement involves the audit of a listed entity;
- The nature of the engagement involves a matter of public interest;
- Required by the laws or regulations;
- The review may include the identification of unusual circumstances or risks in an engagement.

Additionally, there may be factors which trigger an engagement quality control review after an engagement has already commenced. These may include situations where:

- The risk of the engagement has increased during the engagement, for example, where the client becomes the focus of a takeover;
- There is concern among engagement team members that the report may not be appropriate in the circumstances;
- New and significant users of the financial statements are identified;
- The client is subject to significant litigation which was not present during the engagement acceptance process;
- The significance and disposition of corrected and uncorrected misstatements identified during the engagement are a concern;
- There have been disagreements with management on significant accounting matters or audit scope limitations; and
- There have been scope limitations

V.4.ii. Nature, timing and extent of an engagement quality control review

The engagement partner must review the file and any identified issues before the full EQCR. The decision to conduct an EQCR, even if the engagement meets the criteria, and the extent of the EQCR, will depend on the engagement's complexity and associated risks. An EQCR will not diminish the engagement partner's responsibility for the engagement.

The EQCR shall include, as a minimum:

- A discussion of significant matters with the engagement partner;
- A review of the financial statements or other subject matter information and the proposed report;
- Consideration of whether the proposed report is appropriate in the circumstances; and
- A review of selected working paper file documentation relating to the significant judgments the engagement team made and the conclusions it reached.

The firm shall have the QCR use a standardized engagement quality control checklist in order to complete the review and provide appropriate documentation of such review.

For listed entities (and other organizations if included in the firm's policy), the EQCR must also consider:

- The engagement team's evaluation of the firm's independence in relation to the specific engagement;
- Whether appropriate consultation has taken place on matters involving differences of opinion or other difficult or contentious matters and the conclusions arising from those consultations; and
- Whether documentation selected for review reflects the work performed in relation to the significant judgments made and supports the conclusions reached.

The QCR shall be involved early in the engagement process to allow for timely review on any significant issues that arise during the engagement. Consideration will be given to performing parts of the review as the engagement progresses.

For smaller engagements or engagements with less risk and complexity, the QCR shall at least be consulted when the planning is complete, to allow enough time to adjust the engagement approach according to the QCR's assessments and suggestions.

The engagement report shall not be dated until the completion of the engagement quality control review.

V.4.iii. Engagement quality control reviewer (EQCR)

The firm is responsible for establishing criteria for the appointment of QCRs and determining their eligibility.

The firm has appointed the MP to carry out these responsibilities, including designating partners and staff the responsibility for EQCR and determining the engagements to which they can be assigned.

The QCR must be objective, independent, and have sufficient training, experience, technical expertise, and authority, as well as the ability and time to fulfil this role. The characteristics commonly attributed to a candidate suitable to serve in this role include superior technical knowledge of current accounting and assurance standards and a breadth of experience which would be exhibited at a senior level.

The QCR cannot be a member of the engagement team and cannot, directly or indirectly, review his or her own work, or make important decisions regarding the performance of the engagement.

Consultation among qualified professionals who serve the EQCR function is encouraged, and it is not unusual for the engagement team to consult with the QCR during the engagement. This will not normally compromise the QCR's objectivity, as long as the engagement partner (and not the QCR) makes the final decisions and the issue is not overly significant. This process can avoid differences of opinion later in the engagement.

If the objectivity of the QCR becomes compromised following a consultation on a specific matter, the firm should appoint an alternate QCR.

VI. MONITORING

The firm's quality control policies and procedures should include monitoring. The firm should establish processes for the evaluation of

- Adherence to professional standards and applicable legal and regulatory requirements;
- Whether the system of quality control has been appropriately designed and effectively implemented;
- Whether the firm's quality control policies and procedures have been appropriately applied, so that reports that are issued by the firm or engagement partners are appropriate in the circumstances;
- Analysis of new developments in professional standards and applicable legal and regulatory requirements, and how they are reflected in the firm's policies and procedures where applicable;
- Continuing professional development, including training;

The firm should have an inspection cycle which dictates how often the firm reviews its systems. This will depend on the size of the firm, the number and geographic location of offices, the results of previous monitoring procedures as well as the risks associated with the client's practice and specific engagements.

The firm's monitoring process should be documented to include monitoring procedures, including the procedure for selecting completed engagements, a record of the evaluation of adherence to professional standards and applicable legal and regulatory requirements and the deficiencies noted.

The firm must be mindful of the need to inspect the quality control system for continuing effectiveness in light of recent developments and to test controls periodically through formal monitoring at the engagement file level to ensure the controls are working effectively and are not being deliberately circumvented or applied with less rigour than intended.

The decision either to contract with an independent party or set up an internal monitoring system, and its terms of reference, will be dependent upon the firm's resource levels at the time of the inspection and its ability to conduct the program effectively. This determination will be made at each inspection cycle by the MP, through consultation with all partners.

VI.1. Monitoring Program

The firm shall conduct compliance monitoring on a selection of individual engagements, which may be chosen without prior notification to the engagement team. Although it is desirable to select one or more completed and released engagements, for each engagement partner at each inspection, the firm may choose to inspect a number of engagements annually, but will ensure that each partner's files are selected on at least a cyclical basis.

VI.2. Inspection Procedures

Monitoring of the firm's quality control system will be completed on a periodic basis. The process will consider the results of previous monitoring, the nature and extent of authority given to individual partners and staff, the nature and complexity of the firm's practice, and the specific risks associated with the firm's client when designing the inspection.

The firm should ensure preparation of appropriate documentation of inspections that will include:

- An evaluation of adherence to professional standards and applicable regulatory and legal requirements;
- The results from evaluating elements of the quality control system;
- An evaluation of whether the firm has appropriately applied quality control policies and procedures;
- An evaluation of adherence to professional standards and applicable regulatory and legal requirements;
- An evaluation of whether the engagement report is appropriate in the circumstances;
- Identification of any deficiencies, their effect, and a decision on whether further action is necessary, describing this action in detail; and
- A summary of results and conclusions reached (provided to the firm), with recommendations for corrective actions or changes needed.

The engagement partners will meet to review the report (along with other appropriate personnel) and decide on the corrective action and/or changes to make to the system, roles and responsibilities, disciplinary action, recognition, and other matters as determined.

All partners and staff will be provided with information on the monitoring process's results annually, including a detailed description of the monitoring process and its conclusions on the firm's overall compliance and effectiveness.

VI.3. Report on the results of monitoring

After completing the periodic assessment of the quality control system, the person conducting the assessment must report the results to the MP, engagement partners, and other appropriate personnel. The report must include a detailed description of the procedures performed and the conclusions drawn from the review. If systemic, repetitive, or significant deficiencies are noted, the report must also include the action taken to resolve them.

Such a report will, at a minimum, include:

- A description of the monitoring procedures performed;
- The conclusions drawn from the monitoring procedures; and
- Where relevant, a description of systemic, repetitive or other significant deficiencies and of the actions recommended to resolve these deficiencies.

VI.4. Evaluating, communicating and remedying deficiencies

The firm shall address all deficiencies detected and reported by the monitoring process. The firm shall consider whether these deficiencies indicate structural flaws in the quality control system or demonstrate non-compliance by a particular partner or staff member.

Structural flaws indicated by deficiencies may require changes to the quality control or documentation system. The firm shall carefully consider significant deficiencies and follow professional standards and regulatory and legal requirements if it appears it has issued an inappropriate engagement report or that the engagement report's subject matter contained a misstatement or inaccuracy. In such a circumstance, the firm will also consider obtaining legal advice.

If deficiencies are determined to be systemic or repetitive, immediate corrective action will be taken. In most cases, deficiencies related to independence and conflict of interest will require immediate corrective action.

VI.4.1. Non-compliance

Non-compliance with the firm's quality control system is a serious matter, particularly if a partner or staff member has wilfully refused to comply with firm policy.

Since the quality control system is in place to protect public interest, the firm will address wilful non-compliance transparently and rigorously. Wilful non-compliance will be addressed in a number of ways, including instituting a plan to improve performance; performance reviews and reconsideration of opportunities for promotion and increased compensation; and ultimately termination of employment.

In some circumstances, it may be necessary to impose a temporary oversight regime for partners and staff who have difficulty complying with the quality control system. This may include requiring a review of the work performed by another partner. Alternatively, the firm may restrict the type of work performed, for example, by restricting involvement in engagements of larger entities, on either a temporary or a permanent basis.

VI.5. Complaints and allegations

The firm recognizes the authority of the MP in all complaint and allegation matters.

Complaints and allegations — particularly concerning failure to exercise a duty of care in relation to client work, or other breach of professional or legal duties by partners and staff toward each other or clients — are serious matters. The MP shall give serious consideration to notifying the firm's insurance company and/or seeking legal advice. If there is any uncertainty, he or she shall consult other partners, or other trusted professional colleagues.

Any complaint received from a client or other third party will be responded to at the earliest practical moment, with an acknowledgement that the matter is being attended to, and that a response will be forthcoming after it has been appropriately investigated.

The firm maintains a defined policy with accompanying procedures that details the process to be followed in a complaint or allegation arises.

The results from this process will be documented together with the response.

The investigation of such matters will be assigned to the MP and may be delegated to competent, experienced partners or staff who are not involved in the allegation or complaint.

The process provides that all partners and staff are free to raise concerns without fear of reprisal.

VII. DOCUMENTATION

VII.1. Documentation of the firm's policies and procedures

The firm should maintain policies and procedures that specify the level and extent of documentation required in all engagements and for general firm use (as established in the firm manual/engagement templates). It also maintains policies and procedures requiring appropriate documentation to provide evidence of the operation of each element of its system of quality control.

These policies ensure that documentation is sufficient and appropriate to provide evidence of:

- Adherence to each element of the firm's quality control system; and
- Support for each engagement report issued, according to professional and firm standards and regulatory and legal requirements, together with evidence that the EQCR has been completed on or before the date of the report (if applicable).

VII.2. Documentation of the engagement

The firm should determine the engagement documentation requirements needed in order to demonstrate it has met its professional, regulatory, and legal requirements. It is suggested that consideration be given to:

- Engagement planning checklist or memorandum;
- Identified issues with respect to ethics requirements (including demonstration of compliance);
- Compliance with independence requirements and documentation of any discussions related to these issues;
- Conclusions reached with respect to acceptance and continuance of client relationship;
- Procedures performed to assess the risk of material misstatement due to fraud or error at the financial statement and assertion level;
- Nature, timing, and extent of procedures performed in response to assessed risk including results and conclusions;
- Nature, scope, and conclusions drawn from consultations;
- All communications issued and received;
- Results of the EQCR (if any) which has been completed on or before the date of the report;
- Confirmation that no unresolved matters exist that would cause the reviewer to believe that the significant judgments made and conclusions drawn were not appropriate;
- Conclusion that sufficient, appropriate audit evidence has been accumulated and evaluated, and supports the report to be issued; and file closing, including appropriate sign-off.

The firm should have a policy on the specific time within which an engagement file should be assembled. This will depend on the size and complexity of the client as well

as the client's interests and the firm's resources in terms of personnel. There should also be a policy about the time period for issuing reports for specific engagements.

The firm should also have a policy on the required period for retaining documentation of any kind as this will enable performance of monitoring procedures to evaluate the extent of the firm's compliance with its internal control system, as well as the needs of the firm, as required by professional standards, law, or regulations.

VII.3. File access and retention

The firm should establish policies and procedures designed to maintain the confidentiality, safe custody, integrity, accessibility, and retrievability of the engagement documentation.

These policies include consideration of various retention requirements under statute and regulations to ensure that engagement documentation is retained for a period sufficient to meet the needs of the firm.

All working papers, reports, and other documents prepared by the firm, including client prepared worksheets, are confidential and shall be protected from unauthorized access.

An engagement partner or MP must approve all external requests to review working papers and any release of the documents will not be completed until this approval is obtained.

Working papers will not be made available to third parties unless:

- The client has authorized disclosure in writing;
- There is a professional duty to disclose the information;
- Disclosure is required by a legal or judicial process; or
- Disclosure is required by law or regulation.

Unless prohibited by law, the firm must inform and obtain written authorization from the client before making working papers available for review. An authorization letter must be obtained when there is a request to review files from a prospective purchaser, investor, or lender. Legal advice shall be sought if the client does not authorize any necessary disclosure of information.

The firm should also specify policies and procedures for requests for working papers in events of litigation or potential litigation, or regulatory or administrative proceedings.

The firm's policy should also dictate the period for keeping each of the following types of files:

- Permanent files
- Tax files
- Financial statements and reports
- Annual or periodic working papers
- Correspondence
- Client working papers and files

The firm should maintain an accessible, permanent record of all files stored off-site, and each storage container will be appropriately labelled for easy identification and retrieval. The partner responsible for office administration shall approve any destruction of files and keep permanent records of all materials destroyed.